Giyoung Kwon

Last Updated: Oct 10th, 2026

CONTACT INFORMATION

University of Chicago
Becker Friedman Institute for Economics
5757 S University Ave
Chicago, IL 60637 USA

giyoung@uchicago.edu

EDUCATION

University of Chicago, Chicago, Illinois USA — 2021 - 2025

B.A. in Economics (with Honors) and Statistics, cum laude

RESEARCH INTERESTS

Macroeconomics, Finance, Labor Economics

CURRENT EMPLOYMENT

Becker Friedman Institute for Economics, University of Chicago

Research Professional for Chang-Tai Hsieh and Erik Hurst — Jul 2025 - Present

WORKING PAPERS

"The Cost of Leverage: Retail Demand and Option Prices"
(with Jingoo Kwon, Seung Hyeong Lee, Seongkyu Gilbert Park, Younggeun Yoo, and Haesung Kim)

Abstract: Using the universe of account-level transactions in KOSPI 200 index options from 2010 to 2014—then one of the world's largest option markets—we examine how retail demand shapes option prices and investor performance. Retail investors buy to open over 80% of their positions, calls and puts alike, whereas institutional opening trades are balanced between buys and sells. The buying tendency is a highly persistent retail investor trait: reforms that raised the cost of buying reshaped participation but barely moved this tilt, consistent with leverage demand rather than with directional views or capital constraints. Options with greater retail net demand exhibit higher implied volatility and larger variance risk premia. Following a 2011 reform that sharply reduced retail participation, implied volatility fell 5–7% where retail demand had concentrated. Buy-opened positions lose on average for retail and institutions alike, their outcome reflecting the side taken rather than timing or contract choice. Because retail investors overwhelmingly buy while institutions supply most opening sales, 76% of retail accounts lose money over their observed option-trading histories, whereas more than 60% of institutional accounts profit. These findings reveal a hidden cost of leverage: collective demand raises the price of the exposure that retail investors seek.

"Addiction Runs: Rank Competition and Strategic Complementarities in Prescription Stimulant Usage" (with Chanwool Kim and Younggeun Yoo)

Abstract: We study the rise of prescription stimulant use for academic performance using a model with relative-performance externalities. Students compete for rank, where taking a stimulant improves effective performance but entails costs. Because payoffs from academic competition depend on others' performance, students' stimulant usage exhibits strategic complementarities: as more individuals use stimulants, others face stronger incentives to follow in order to avoid falling behind. We identify the model using prescription trends in the U.S. and our own survey evidence on students' incentives, beliefs, and perceived costs. The estimated strategic complementarities are large enough to generate multiple equilibria, including one with low use and another with very high use, in which around 90 percent of students take stimulants. We use the estimated model to evaluate policies that (i) reduce the salience of relative evaluation, (ii) limit the competitive advantage conferred by stimulants, particularly through academic accommodations, (iii) separate academic competition between stimulant users and non-users (i.e., separate curves), and (iv) tighten prescribing standards to reduce non-medical use. Our estimates show that separate curves yield rankings that most closely reflect underlying ability and are the policy that least discourages true ADHD patients from taking prescribed stimulants.

RESEARCH EXPERIENCE

University of Chicago

RA for Evan Rose	Jan 2024 - Dec 2024
RA for James Robinson and Leander Heldring	Jan 2023 - Jul 2024
RA for John List	Sep 2022 - Sep 2023

Teaching Experience

University of Chicago

Economic Policy Analysis (Undergraduate)	TA for Rui Zhao	Autumn 2025
Economic Policy Analysis (Undergraduate)	TA for Kotaro Yoshida	Spring 2024
Econometrics (Undergraduate)	Grader for Melissa Tartari	Spring 2024

Other Experience

Compass Lexecon, Chicago, Illinois USA

Summer Intern — Jun 2024 - Sep 2024

2nd Operations Command, Daegu, South Korea

Military Interpreter — Jun 2019 - Jan 2021

Honors and Grants

BFI Public Economics Initiative Award ($3,000)	University of Chicago	2026
The David S. Hu Awards in Economics (Undergraduate Thesis Prize)	University of Chicago	2025

Other

Programming Languages: Python, Stata, R (proficient); Julia, MATLAB, SAS (intermediate)

Clearance: U.S. Census Bureau Special Sworn Status (2026 - Present)